## 1.6 MACROECONOMIC POLICY

Indian economy during the British era suffered from low levels and growth rates of national and per capita income, stagnant agriculture sector, falling share of indigenous handicraft industry, weak capital goods industry base, foreign trade oriented to feed the Industrial Revolution in Britain, prevalence of rampant poverty and unemployment and what not. The state of the economy could be clearly depicted with the help of the following macroeconomic indicators:

### 1.6.1 Savings and Investments

Expansion of an economy depends on the process of capital accumulation, which is a function of the magnitude and utilisation of economic surplus or savings generated in an economy for investment. The net savings in the Indian economy from 1914 to 1946 was only 2.75 per cent of Gross National Product (GNP). This magnitude may be contrasted with the net savings in 1971-75 when they constituted 12 per cent of GNP and more recently in 2017-18 the share of gross savings was 30.5 per cent of GDP. The share of total capital formation had been 6.75 per cent of GNP during 1914-46 as against 20.14 per cent of GNP during 1971-75, and 32.3 per cent of GDP in 2017-18. Moreover, the share of industry in this low level of capital formation was small with machinery forming only 1.78 per cent of GNP during 1914-46. This figure was 6.53 per cent of GNP in 1971-75.

A considerable part of India's social surplus or savings was appropriated by the colonial state and deployed to finance its strategic interests. Another large part was appropriated by the indigenous landlords and moneylenders. According to Bipan Chandra, by the end of the colonial period, the rent and interest paid by the peasantry amounted to Rs. 1,400 million per year. Only a very small part of this large surplus was invested in the development of agriculture and industry.

### 1.6.2 Fiscal Policy

A feature of India's governance was the role played by the State in constructing, determining, and maintaining different aspects of the colonial structure to rule the country. India's policies were determined in Britain and in the interests of the British economy and the British capitalist class. Thus, an important reason for the underdevelopment of India was the denial of State support to industry and agriculture. This was contrary to what happened in nearly all the capitalist countries, including Britain, which enjoyed active State support in the early stages of development. Some other aspects of the policy framework that guided colonial rule in India were:

i) **Regressive Tax Structure**

   The Indian tax structure was highly inequitable. While the peasants were burdened with paying a heavy land revenue for most of the colonial period and the poor with the salt tax, etc., the upper-income groups comprising highly paid bureaucrats, landlords, merchants, and traders hardly paid any taxes. The level of direct taxes was quite low. The number of income-tax payers was 3,60,000 in 1946-47. It was under pressure from the national and peasant movements that the land revenue and salt tax started coming down in the 20$^{th}$ century. As late as 1900-01, land revenue and salt tax formed 53 per cent and 16 per cent of the total tax revenue of the government.

ii) **Military Expenditure**

The colonial state devoted almost its entire income to meeting the needs of the British Indian administration, making payments of direct and indirect tribute to Britain and in serving the needs of British trade and industry. The bulk of public revenue was absorbed by the military expenditure and civil administration which was geared to maintenance of law and order and tax collection. After 1890, military expenditure absorbed nearly 50 per cent of the central government's income. In 1947-48, this figure stood at nearly 47 per cent.

iii) **Meagre Spending on Development of Agriculture, Industry, and Social Infrastructure**

As pointed out earlier, a very large part of India's social surplus was appropriated by the colonial state, but a very small part of it was spent by it on the development of agriculture or industry or on social infrastructure or nation-building activities such as education, sanitation and health services.

### 1.6.3 Trade Policy

The two centuries (1757-1947) recorded major structural changes in the trade policy. The period can be divided into four parts: 1759-1813, 1813-1850, 1850-1914, and 1914-1947.

i) **1759-1813**

The first period can be termed as the age of Mercantilism. During this period, the East India Company established its political supremacy, attempted to enforce exclusive monopolistic trade between India and Britain. Nevertheless, the company was largely unsuccessful due to activities of private traders. The important characteristics of the trade was that Indian trade continued to flow along the traditional channels and its composition was based on an exchange of fine textiles, foodstuffs and other raw materials for precious metals and certain manufactured products. The East India Company financed a large volume of its trade through the surplus from the budgetary sources of its India possessions.(see 1.4 Drain of Wealth).

The East India Company used its dominant position to compel weavers and other producers of export commodities to supply their output to the English Company at a specified price determined by the latter. Thus the principle of freely negotiable contract was now increasingly abandoned. The use of budgetary surplus to finance export of goods to Europe and the silver to finance the Company purchase of tea and silk in China led to contraction of money supply, threw out of balance the whole banking and monetary system, and provoked loud complaints from native traders and foreign merchants. Due to the pressure by the private traders and the decline of Mercantilist doctrines in England, exclusive monopoly in Indian trade was abolished in 1813, and the East India Company was debarred from trading in 1833.

ii) **1813-1850**

A major structural change took place during this period in the commodity composition of the Indian trade, which continued until the end of World War I. India was gradually transformed from being an exporter of manufacture products (largely textiles) into a supplier of primary commodities, importing finished consumer goods and certain intermediate industrial goods in return. In 1811-12, the percentage share of piece goods (fabrics, made in standard widths and lengths) in total export values from Calcutta was 33 per cent, in 1814-15 it was 14.3 per cent, and in 1839-40 just 5 per cent. Between 1814 and 1850, four commodities that dominated the exports baskets were indigo, raw silk, opium and cotton.

iii) **1850-1914**

The construction of railway lines in India during 1850's and the outbreak of Crimean War gave new impetus to the sub-continental trade. In the following two decades, volume and value of foreign trade increased phenomenally due to American civil war and opening of Suez Canal. There was general reduction in oceanic freight. Rapid industrialisation of continental countries, the US and Japan created a new level of demand for raw materials and food stuffs. This was the great age of multilateral trade and international payments.

iv) **1914-1947**

The age of multilateral trade and the frictionless gold standard exchange system ended abruptly in 1914. The conditions under which Indian foreign trade was conducted in post-war period were dictated by– worldwide industrial reorganisation, growth of bilateral trading arrangements, a policy of tariff protection, and foreign exchange controls. In addition, India, along with the other exporters of primary commodities suffered from the World Depression of 1929. As a result of these developments, the general trend of India's foreign trade during the inter-war period were showed wide fluctuations. The last seven years from the outbreak of the World War II to 1946 were characterised by wartime controls and large-scale political upheaval preceding India's independence in 1947, influencing the trade flows.

Before the uprising of 1857 the commercial policy was guided by the twin principles of extending protection to British imports and using tariffs for revenue mobilisation. In Bengal, the rates of duties on exports and imports were fixed at 5 to 10 percent in 1810. In line with the principle of favouring British trade and shipping, next year the duty rates on goods carried by foreign ships were doubled. Subsequently, the duty on British imports was reduced to 2.5 per cent. Similarly, in view of the serious state of public finances in post-1857 period, the government in 1859 sharply raised duties on goods including cotton textiles from Britain. There was a public outcry in Britain and in 1862 import duty on cotton was reduced from 10 to 5 per cent.

Throughout the period an unusual characteristic of India's foreign trade was the existence of a large export surplus which was not accompanied by either a rise in her foreign exchange reserves or an increase in overseas lending. This surplus was used for unilateral transfer of funds that India had to make to Britain as part of the political charges or the political "tribute". This was debited to her external account. It was also used to partly settle Britain's trade deficit with US and Europe.

Tariff policy was looked upon by India nationalists as the main instrument of British economic imperialism. Until the First World War, there was no import duty, which could possibly offer any sort of protection to any of the Indian